



# COLLEGE ACCOUNTING (105)

—Post-secondary—

NATIONAL – 2019

**Multiple Choice Section:**

Multiple Choice (17 @ 2 points each) \_\_\_\_\_ (34 points)

Short Answer (8 @ 3 points each) \_\_\_\_\_ (24 points)

**Problems:**

Problem 1: Installment Note \_\_\_\_\_ (52 points)

Problem 2: Journal Entries \_\_\_\_\_ (64 points)

Problem 3: Statement of Cash flows \_\_\_\_\_ (51 points)

***TOTAL POINTS*** \_\_\_\_\_ ***(225 points)***

**Graders: Please double check and verify all  
scores and answer keys!**

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*Workplace Skills Assessment Program* competition.



## General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

GAAP

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

Round all dollar amounts to the nearest cent

### Multiple Choice:

- |      |       |       |
|------|-------|-------|
| 1. D | 8. D  | 15. B |
| 2. D | 9. B  | 16. B |
| 3. D | 10. D | 17. C |
| 4. B | 11. C |       |
| 5. A | 12. A |       |
| 6. D | 13. C |       |
| 7. C | 14. C |       |

### Short Answer:

1. Common
2. Preferred
3. Treasury
4. Direct, Indirect (3 points each)
5. Common size
6. Deficit
7. Premium



**Problem 1 (52 Points)**—The following table reflects the amortization of an installment note taken out by the Windell Corporation. The note was signed on 1/1/19 for \$250,000 at 8% for 5 years. A yearly payment of \$62,614.27 will be made on December 31 of each year. Complete the table and record the **first two interest payments**. Round all answers to the nearest cent.

**Graders** – Please note that bolded amount in the table is worth 2 points each. Each line in the journal is worth 2 points per line. One point for account and one point for amount/debit or credit. Added together this problem is worth 32 points.

|               | Beginning<br>Carrying Value | Cash Payment        | Interest<br>Expense | Decrease in<br>Notes Payable | Ending<br>Carrying Value |
|---------------|-----------------------------|---------------------|---------------------|------------------------------|--------------------------|
| Dec. 31, 2019 | \$ 250,000.00               | <b>\$ 62,614.27</b> | <b>\$ 20,000.00</b> | <b>\$ 42,614.27</b>          | <b>\$ 207,385.73</b>     |
| Dec. 31, 2020 | 207,385.73                  | <b>62,614.27</b>    | <b>16,590.86</b>    | <b>46,023.41</b>             | <b>161,362.32</b>        |
| Dec. 31, 2021 | 161,362.32                  | <b>62,614.27</b>    | <b>12,908.99</b>    | <b>49,705.28</b>             | <b>111,657.04</b>        |
| Dec. 31, 2022 | 111,657.04                  | <b>62,614.27</b>    | <b>8,932.56</b>     | <b>53,681.71</b>             | <b>57,975.33</b>         |
| Dec. 31, 2023 | 57,975.33                   | <b>62,614.27</b>    | <b>*4,638.94</b>    | <b>57,975.33</b>             | <b>- 0 -</b>             |

\*Must make it work – this is the difference between payment 62,614.27 and carrying value 57,975.33\*

**General Journal**

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| Date     | Description                            | Post<br>Ref | Debit            | Credit           |
|----------|----------------------------------------|-------------|------------------|------------------|
| 12/31/19 | <b>Installment Note Pay (Note Pay)</b> |             | <b>42,614.27</b> |                  |
|          | <b>Interest Expense</b>                |             | <b>20,000.00</b> |                  |
|          | <b>Cash</b>                            |             |                  | <b>62,614.27</b> |
| 12/31/20 | <b>Installment Note Pay (Note Pay)</b> |             | <b>46,023.41</b> |                  |
|          | <b>Interest Expense</b>                |             | <b>16,590.86</b> |                  |
|          | <b>Cash</b>                            |             |                  | <b>62,614.27</b> |



**Problem 2 (64 Points)** —Record the following entries in general journal form. A journal is provided on the next two pages.

**Graders** – Each line in the general journal entry is worth 4 points, two for account and two for amount/debit or credit. Please note – abbreviations allowed, examples are listed.

Jan. 25 Issued 500 shares of preferred stock at \$125 per share for cash.  
June 30 Declared a cash dividend to preferred stock \$105,000 and \$0.10 per share on common stock to be paid on July 15. (Common 20,000 – Treasury 1,000 = 19,000 \* 0.10 = \$1,900 + 105,000)  
July 15 Paid the cash dividends on preferred and common stock.  
Sept. 28 Sold all the treasury stock for \$7,000.  
Oct. 31 Split the common stock 4 for 1 and reduced the par value from \$10 to \$2.50 per share. After the split, there are 80,000 common shares outstanding.  
Dec. 31 Declared a cash dividend to preferred stock of \$105,000 and \$0.03 per share on common stock to be paid on January 15.

General Journal

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| Date   | Description                                                | Post Ref | Debit          | Credit         |
|--------|------------------------------------------------------------|----------|----------------|----------------|
| Jan 25 | <b>Cash</b>                                                |          | <b>62,500</b>  |                |
|        | <b>Preferred Stock</b>                                     |          |                | <b>50,000</b>  |
|        | <b>Paid in Capital - Preferred Stock</b>                   |          |                | <b>12,500</b>  |
| Jun 30 | <b>Cash Dividends</b>                                      |          | <b>106,900</b> |                |
|        | <b>Dividends Payable – Preferred</b>                       |          |                | <b>105,000</b> |
|        | <b>Dividends Payable – Common</b>                          |          |                | <b>1,900</b>   |
| Jul 15 | <b>Dividends Payable – Preferred</b>                       |          | <b>105,000</b> |                |
|        | <b>Dividends Payable – Common</b>                          |          | <b>2,900</b>   |                |
|        | <b>Cash</b>                                                |          |                | <b>106,900</b> |
| Sep 28 | <b>Cash</b>                                                |          | <b>7,000</b>   |                |
|        | <b>Treasury Stock</b>                                      |          |                | <b>5,500</b>   |
|        | <b>Paid in Capital from sale of Treasury Stk</b>           |          |                | <b>1,500</b>   |
| Oct 31 | <b>No Entry – Counts as 4 points off if made an entry.</b> |          |                |                |
| Dec 31 | <b>Cash Dividends</b>                                      |          | <b>107,400</b> |                |
|        | <b>Dividends Payable – Preferred</b>                       |          |                | <b>105,000</b> |
|        | <b>Dividends Payable – Common</b>                          |          |                | <b>2,400</b>   |



**Problem 3 (51 Points)** —Using the information below, prepare Statement of Cash Flows using the indirect method for the Kantak Company for April 2019. Use the form attached on the next page.

**Graders – Please note that format may be different. Just the bolded items are graded. The total heading is worth three points.** All bolded numbers are worth three points each.

| <b>Kantak Company</b><br><b>Statement of Cash Flows (or Cash Flows Statement)</b><br><b>For the month ended April 30, 2019 (or 4/30/19)</b> |                       |                         | Worth a<br>Total of<br>3 Points |
|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|-------------------------|---------------------------------|
| Cash Flows from Operating:                                                                                                                  |                       |                         |                                 |
| Net Income                                                                                                                                  |                       | <b>\$ 48,540</b>        |                                 |
| Add: Depreciation                                                                                                                           | <b>\$ 64,500</b>      |                         |                                 |
| Loss in sale of Equipment                                                                                                                   | <b>2,000</b>          |                         |                                 |
| Decr in Accounts Rec                                                                                                                        | <b><u>13,800</u></b>  | 80,300                  |                                 |
|                                                                                                                                             |                       |                         |                                 |
| Deduct: Incr in Merchandise Inv                                                                                                             | <b>(25,340)</b>       |                         |                                 |
| Decr in Accounts Pay                                                                                                                        | <b><u>(2,800)</u></b> | <b><u>(28,140)</u></b>  |                                 |
| Net Cash Flows from Operating                                                                                                               |                       |                         | <b>\$ 100,700</b>               |
|                                                                                                                                             |                       |                         |                                 |
| Cash Flows from Investing:                                                                                                                  |                       |                         |                                 |
| Cash received from sale of Equip                                                                                                            |                       | <b>20,000</b>           |                                 |
| Cash paid for Equipment                                                                                                                     |                       | <b><u>(170,000)</u></b> |                                 |
| Net Cash Flows used for Invest                                                                                                              |                       |                         | <b>(150,000)</b>                |
|                                                                                                                                             |                       |                         |                                 |
| Cash Flows from Financing:                                                                                                                  |                       |                         |                                 |
| Cash received from sale of Stock                                                                                                            |                       | <b>84,800</b>           |                                 |
| Cash paid for Dividends                                                                                                                     |                       | <b><u>(30,500)</u></b>  |                                 |
| Net Cash Flows provided by Finc                                                                                                             |                       |                         | <b><u>54,300</u></b>            |
| Increase in Cash                                                                                                                            |                       |                         | <b>5,000</b>                    |
| Cash, Beginning Balance                                                                                                                     |                       |                         | <b><u>42,000</u></b>            |
| Cash, Ending Balance                                                                                                                        |                       |                         | <b><u>\$ 47,000</u></b>         |